

# Limuru Tea Plc

P. O. BOX 20-20200,  
Kericho, Kenya  
Telephone: 0722307394/5

## ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30<sup>TH</sup> JUNE 2022.

The Board of Directors is pleased to announce the company's unaudited results for the Six months ended 30<sup>th</sup> June 2022.

| STATEMENT OF FINANCIAL POSITION     |                    |                        |
|-------------------------------------|--------------------|------------------------|
|                                     | As at 30 June 2022 | As at 31 December 2021 |
|                                     | KShs'000           | KShs'000               |
| <b>EQUITY</b>                       |                    |                        |
| Share capital                       | 24,000             | 24,000                 |
| Retained earnings                   | 164,207            | 158,290                |
| <b>Total equity</b>                 | <b>188,207</b>     | <b>182,290</b>         |
| <b>Non-current liabilities</b>      |                    |                        |
| Post-employment benefit obligations | 18,249             | 16,480                 |
|                                     | 18,249             | 16,480                 |
|                                     | <b>206,456</b>     | <b>198,770</b>         |
| <b>REPRESENTED BY:</b>              |                    |                        |
| <b>Non-current assets</b>           |                    |                        |
| Property, Plant and Equipment       | 88,478             | 90,008                 |
| Biological assets – fuel trees      | 2,737              | 2,737                  |
| Deferred Tax Asset                  | 3,388              | 1,898                  |
|                                     | <b>94,603</b>      | <b>94,643</b>          |
| <b>Current assets</b>               |                    |                        |
| Biological asset - green leaf       | 2,951              | 2,951                  |
| Current income tax recoverable      | 7,439              | 7,699                  |
| Receivables and prepayments         | 119,316            | 102,844                |
| Cash and cash equivalents           | 30                 | 364                    |
|                                     | <b>129,736</b>     | <b>113,858</b>         |
| <b>Current liabilities</b>          |                    |                        |
| Payables and accrued expenses       | 17,883             | 9,731                  |
|                                     | 17,883             | 9,731                  |
| <b>Net current assets</b>           | <b>111,853</b>     | <b>104,127</b>         |
|                                     | <b>206,456</b>     | <b>198,770</b>         |

| CONDENSED STATEMENT OF CASH FLOWS                |                 |                 |
|--------------------------------------------------|-----------------|-----------------|
|                                                  | As at June 2022 | As at June 2021 |
|                                                  | KShs'000        | KShs'000        |
| Net cash (used)/from operating activities        | (334)           | 2,548           |
| Net cash used in investing activities            | -               | (2,370)         |
| (Decrease)/increase in cash and cash equivalents | (334)           | 178             |
| <b>Movement in cash and cash equivalents</b>     |                 |                 |
| At start of interim period                       | 364             | 307             |
| (Decrease)/increase during the period            | (334)           | 178             |
| <b>At end of June</b>                            | <b>30</b>       | <b>485</b>      |

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| CONDENSED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME |                       |                       |
|----------------------------------------------------------------------|-----------------------|-----------------------|
|                                                                      | June 2022<br>KShs'000 | June 2021<br>KShs'000 |
| <b>Turnover</b>                                                      | 66,261                | 46,617                |
| Profit/(loss) before income tax                                      | 6,428                 | (8,372)               |
| Income tax charge                                                    | (511)                 | (225)                 |
| Profit/(loss) attributable to the shareholders                       | <b>5,917</b>          | <b>(8,597)</b>        |
| <b>Authorized, Issued and fully paid shares of KShs 10 each</b>      | <b>2,400,000</b>      | <b>2,400,000</b>      |
| Earnings per share (KShs)                                            | <b>2.47</b>           | <b>(3.58)</b>         |

| CONDENSED STATEMENT OF CHANGES IN EQUITY |                              |                                  |                                  |                   |
|------------------------------------------|------------------------------|----------------------------------|----------------------------------|-------------------|
|                                          | Share<br>Capital<br>KShs'000 | Retained<br>Earnings<br>KShs'000 | Proposed<br>Dividend<br>KShs'000 | Total<br>KShs'000 |
| Balance at 1 January 2021                | 24,000                       | 166,781                          | -                                | 190,781           |
| Total recognized loss to June 2021       | -                            | (8,597)                          | -                                | (8,597)           |
| Balance as at 30 <sup>th</sup> June 2021 | 24,000                       | 158,184                          | -                                | 182,184           |
| Balance at 1 January 2022                | 24,000                       | 158,290                          |                                  | 182,290           |
| Total recognized profit for 2022         |                              | 5,917                            |                                  | 5,917             |
| Balance as at 30 <sup>th</sup> June 2022 | 24,000                       | 164,207                          |                                  | 188,207           |

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## COMMENTARY

### **Performance**

In the first half of 2022, total revenues increased by 42% to Kes 66.3 million in the period compared to Kes 46.6 million realised in the same period of 2021. This increase in the first half of 2022 is driven by favourable black tea market prices and the continuous improvement of tea quality.

The company produced 1,702 tons of green leaf, which in turn was manufactured into 406 tons of black tea. This was a 6% decrease in made tea volumes compared to the first half of 2021.

The company posted a pre-tax profit of Kes 5.9 million in the first half of 2022 compared to a pre-tax loss of Kes 8.6 million in 2021. This improvement in performance is driven by the higher market prices compared to the same period in 2021. Inflation on key material costs pushed up the cost quite significantly but management put up cost efficiency programs to mitigate the full impact.

### **Dividend**

The Directors do not recommend an interim dividend.

### **Prospects**

The first half of 2022 has experienced relatively lower rainfall which has negatively impacted tea production. Price inflation of key inputs has also impacted the cost profile. Market prices have improved, and this has cushioned the profitability of the company despite the challenging business environment. The management will keep undertaking strategic cost efficiencies and quality improvement initiatives to ensure the company maximize on returns.

**Ms. Dorcas Muli**

DocuSigned by:

  
**CHAIRPERSON**

29<sup>th</sup> August 2022